

HEDGEYE DAILY DIGEST

October 2, 2026 | GMT+8 edition

*Hedgeye is leaning hard into #Quad2 dispersion: a **US Dollar breakout**, rising long-end yields (**UST10Y 5.02-5.40%**) and a long Tech / short Financials sector book that captured big alpha in **September (XLK +5.0% vs. XLF -7.5%)**. The new wrinkle is the AI trade splitting in two, with the cash-funded megacaps up **+17%** over 60 days while the debt-financed Neoclouds fell **-7%**, and **15 of 35 AI names already in Bearish TREND**.*

Source note: the Hedgeye web feed was blocked by a Cloudflare human-verification check this morning, so this digest was compiled from the full-text Hedgeye research emails received in the subscriber inbox. One marketing email was skipped. No Hedgeye items were found for September 30 (EDT) afternoon.

Today's Publications (Oct 2, GMT+8)

SIGNAL STRENGTH STOCKS

Signal Strength Stocks | Oct 2, 01:32 GMT+8 (Oct 1, 1:32 PM EDT)

Hedgeye's weekly Signal Strength list now holds **53 stocks** after **1 addition** and **5 removals**. The new name is **JAKKS Pacific (JAKK)**, a Small Caps idea from **Daryl Jones**, entered at **\$25.00** and ranked **3/3** in his book. Coming off the list are **Best Buy (BBY)**, **Robinhood (HOOD)**, **Philip Morris (PM)**, **Roblox (RBLX)** and **Roku (ROKU)**. The Roblox exit lines up with the Macro Show discussion, where the bullish turn on **RBLX** was cited as having come too early.

The list's biggest winners are still the earliest entries: **10x Genomics (TXG)** is up **+308.7%** since **May 19**, **Okta (OKTA)** **+122.1%**, **Snowflake (SNOW)** **+90.3%**, **Atlassian (TEAM)** **+74.1%** and **Cheesecake Factory (CAKE)** **+63.0%**. Software (mostly **Andrew Freedman's** coverage) remains the backbone, with **NET**, **GTLB**, **CRWD**, **TWLO**, **PLTR**, **PANW**, **DDOG** and **SHOP** all on the list.

Recent additions skew toward **Energy refiners (MPC, VLO, DINO, PBF, CVI, plus XOM and SHEL)**, **Cannabis (TRLV, CRON, CURLF, HITI, VFF)** and **Digital Assets (COIN, MSTR)**. KM Signal names include **MSFT** (+4.4%), **DELL**, **SNDK**, **RBRK** and **Raspberry Pi (RPBPF)**, which is the weakest recent entry at **-9.8%**. **META** (+12.0%) is ranked **1/8** in Communications and **NVDA** (+3.0%) is ranked **4/7** in Global Technology.

ETF PRO PLUS UPDATE

Other / ETF Pro Plus | Oct 2, 00:39 GMT+8 (Oct 1, 12:39 PM EDT)

A real-time ETF Pro Plus update made **3 changes**. Hedgeye is **adding Top 20 US Stocks (TOPT)** to the long side, a concentrated megacap-growth expression that fits the **#Quad2** / long Large Cap Tech call.

Two commodity longs were **removed** after breaking **TRADE** and/or **TREND**: **Corn (CORN)**, with a risk range of **19.34-20.29**, and **Commodity Strategy (HGER)** at **34.75-36.47**. Under the product rules, a removal from the long side means sell, so the net effect is less broad-commodity exposure and more US large-cap growth.

Yesterday's Publications (Oct 1, GMT+8)

EARLY LOOK: #QUAD2 FIGHT: ALPHA VS. AI BUBBLE

Early Look | Keith McCullough | Oct 1, 19:29 GMT+8 (7:29 AM EDT)

Quad positioning: #Quad2 (US); Europe Quad 3

What: Keith McCullough's flagship note uses a prison-survival analogy to argue that markets will always test your positions, and that you need a risk process to defend them, not a story. It also previewed the **Q4 Macro Themes** call (11AM ET) and the new **AI Bubble Cockpit**.

Why: In #Quad2 (growth and inflation both accelerating), dispersion matters more than index direction. Investors are separating AI companies that fund growth with cash from those funded with debt. September showed the payoff from being long and short at the same time.

Who: Longs that worked: **META, MSFT, XLK, IGV/BUG**. Shorts that worked: **ORCL, CRWV, XLF, XLY, XLU, XLI**. Fixed income: short **TLT, LQD, HYG**; core long **BUXX, CLOX, CLOZ**.

Key numbers: "Cash Funded Four" **+17%** vs. Neoclouds **-7%** (60 days). **15 of 35** AI names in Bearish TREND, including **all** Power Grid names. September: **XLK +5.0%, XLF -7.5%, XLY -6.7%, XLU -6.6%, XLI -4.7%**. **SPY** fell for the last **3** sessions of the month.

Takeaway: Stay long US Large Cap Tech and Software, short Financials, Consumer Discretionary, Utilities and Industrials, and short duration and credit (TLT/LQD/HYG) in favour of floating-rate and short-term paper. Be more selective in AI: own the cash-funded names and avoid or short the leveraged ones.

Risk Range™ Signals

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	5.02-5.40	Bullish
High Yield (HYG)	76.73-77.99	Bearish
Investment Grade Corp Bond ETF (LQD)	101.2-103.8	Bearish
S&P 500 (SPX)	7601-7790	Bullish
NASDAQ Composite (COMPQ)	26506-27350	Bullish
Russell 2000 (RUT)	2770-2871	Bearish
Health Care SPDR (XLV)	166-172	Bullish
iShares Expanded Tech-Software (IGV)	104-109	Bullish
Energy SPDR (XLE)	60.40-63.95	Bullish
Volatility Index (VIX)	13.88-16.91	Bearish
U.S. Dollar Index (USD)	100.48-102.01	Bullish
WTI Crude Oil (WTIC)	88.01-95.17	Bullish
Natural Gas (NATGAS)	2.85-3.39	Bullish
Gold Spot (GOLD)	4062-4299	Bearish
Copper Spot (COPPER)	6.33-6.65	Neutral
Silver Spot (SILVER)	57-62	Bearish

THE MACRO SHOW: TOP 3 THINGS (KM)

KM's Top 3 / From The Desk | Oct 1, 20:30 GMT+8 (8:30 AM EDT)

What: Keith's three desk calls ahead of the show: the **USD**, **Asia** and **Sectors**.

Why: The **US Dollar Breakout** signal is still running and drives correlations across assets. Asian markets are diverging sharply. The September sector spread confirmed the long/short book.

Who: Short **EUR/USD**, **Germany (EWG)** and **Switzerland (EWL)**. The **yen** is wobbling. Long **XLK**, **IBIT**, **ETHA** (the assets most positively correlated with USD). **Gold/Silver** are bearish and inversely correlated. Bullish **Nikkei**. **KOSPI** gained after **MU** results. Short **India (INDA)** and **Australia (EWA)**.

Key numbers: **Nikkei +3.3%**, **KOSPI +2%** (TREND line **7092**). **INDA -1.6%** on the day, **-7.3%** over the month. **EWA -2.0%** on the day, **-5.0%** over the month. Risk ranges: **SPX 7601-7790**, **UST10Y 5.02-5.40%**.

Takeaway: Some sector shorts have been covered toward minimum size, but all **4** remain short against long **XLK**, **IGV**, **BUG**, **XLV**. Express the strong-dollar view through Tech and crypto on the long side and Europe/EM on the short side.

MOMO TRACKER

MOMO Tracker | Christian Drake, Ryan Ricci | Oct 1, 20:50 GMT+8 (8:50 AM EDT)

What: Monthly momentum dashboard: **September Delivers Massive Sector Dispersion as Technology Dominates Cyclical**s.

Why: It tracks price, volume, volatility, valuation and correlation for the **Mag7** and other momentum leaders against the morning's Risk Range signals.

Who: Chart panels cover **AAPL/AMZN**, **META/GOOGL**, **NFLX/TSLA** and **NVDA/ORCL**, plus Quad-regime panels for **MSFT**, **NFLX**, **GOOGL**, **AAPL**, **AMZN**, **META**, **TSLA**, **NVDA**.

Key numbers: The email body is all charts with no text. The headline matches the Early Look's September numbers (**XLK +5.0%** vs. cyclical sectors down **4.7-7.5%**).

Takeaway: Momentum leadership stayed with **Technology** while **cyclicals** sold off. That supports long megacap Tech and short cyclicals. (Summary is based on the headline and chart labels only, because the content is chart images.)

THE MACRO SHOW: SUMMARY NOTES

Macro Show Summary Notes | Oct 1, 22:21 GMT+8 (10:21 AM EDT)

What: The full summary of Thursday's Macro Show. **Bullish:** BTC, ETH, XLK, IGV, BUG, XLV, MSOS, TRLV, Brent, PFI, USD. **Bearish:** EUR/USD, EWG, EWL, INDA, EWA, XLF, XLY, XLU, XLI, TSLA, TLT, PLUG.

Why: The **USD breakout** is the key factor exposure. The current mix is dollar up, rates up, growth up and Bitcoin up, which is classic US **#Quad2**. **Europe** is treated as **Quad 3** (stagflation), so it stays a short. A sustained breakout in long-end yields fits Quad 2 and should run until the signal changes.

Who: **Japan** has flipped bullish. **South Korea** is bullish on TRADE but bearish on TREND (watching, no position). **MSOS** is held at minimum size, with **Trulieve** preferred. **TSLA** stays short. No position in **WTI**. **Brent** is long but making lower highs. **Roblox** was cited as an example of turning bullish too early.

Key numbers: **77%** of stocks fell in the previous session even though the SPX traded higher for much of the day. **PFI** is up **~22%** in 14 days. India is down **>7%** over the month. The sector shorts are down **5-7.5%** over the month.

Takeaway: Hedgeye is relying on country, sector and factor selection, not an S&P call. Keep longs larger than shorts, cut losers and recycle capital, and use cash and high-quality credit as ballast instead of duration.

Add to Brent less eagerly and sell more into strength.